

The complaint

Mr O has complained about the way Aviva Insurance Limited dealt with a claim he made for flood damage under his buildings insurance policy. Mr O's daughter is representing him in his complaint.

What happened

Mr O bought a building insurance policy with Aviva. In February 2020 he made a claim for flood damage to his home where he lives with Mrs O following a storm. They had to move into alternative accommodation while works were carried out.

Aviva settled the claim by paying a cash settlement for drying out and redecoration. The settlement sum for these repairs came to £4,629.19. It said due to the construction of the property, it was likely that further water damage could occur. But Aviva said it wouldn't carry out preventative works as this would result in betterment for Mr O. Aviva said this wasn't covered under the policy.

Mrs O contacted us. She said the settlement wasn't enough to repair the property to its pre incident condition in preventing future water ingress. She said water has come in again due to heavy rainfall. Ms O says her father paid in the region of £16,000 to repair the property which she feels Aviva should have covered under his policy.

Aviva didn't agree.

Our investigator recommended upholding Mr O's complaint. He was mindful of the fact that Mr O's property was 200 years old and had an extension built around 45 years before, which would have been built to meet the building regulations at the time. The building seemed to be able to have been structurally sound to withstand water ingress before February 2020. And he explained that the role of Aviva when dealing with a claim is to carry out effective and long lasting repairs. He didn't believe the drying out and redecorating of the building was enough.

So the investigator recommended Aviva carry out repairs to the parts of the building that were damaged by flood – and to ensure these repairs were effective and long lasting in preventing future water ingress. He said the property without effective repairs is open to further flood damage, so Aviva hasn't put Mr O back in the position he was before the damage. He therefore didn't agree that by carrying out effective repairs, Aviva was putting Mr O in a position of betterment.

The investigator recommended for Aviva to either:

- Arrange for suitable repairs to be carried out to prevent future flood damage – or;
- If the repairs have been carried out, for Aviva to meet the costs it is liable for in relation to flood damage and reimburse Mr O with interest at 8%.

Mr O's daughter hasn't commented on the investigator's findings.

Aviva didn't agree. It provided comments from the surveyor, which the investigator had previously considered. Aviva says there was no external damage caused by flood to the property, only internal damage. Aviva doesn't accept it should carry out any betterment works as the outside of the property wasn't damaged. It says the policy provides cover for one off insurable events.

So Aviva would like an ombudsman to decide.

What I've decided – and why

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

Mr O's policy with Aviva provides cover for insured perils, such as storm or flood. The surveyor who visited the property said there was no damp proof membrane below the floor and a lack of any internal 'tanking' to prevent water from entering the property through the walls which are of solid stone construction. The surveyor wrote:

"The external ground levels are too high. In some cases higher than the internal floor, and mostly within 150mm of the internal floor levels, especially on the rear of the property. This will cause bridging of any DPC (damp proof course), leading to water ingressing internally. The external ground levels must be at least 150mm below the internal floor levels to comply with Building Regulations."

The surveyor provided comments on other areas of the property: the roof and guttering. However this isn't relevant as the area of damage is on the ground floor as a result of flood water. He concluded that all of the areas of concern highlighted would allow water to enter the property in future and had not been caused by the storm, but due to age and wear and tear.

And so the surveyor said the drying out and redecorating repairs brought the property to its pre loss condition before the flood.

The surveyor concluded:

"Any further damage may be being caused by the external defects noted above, which would be regarded as betterment on the policy and were not caused by the initial storm, but are due to lack of maintenance, poor construction, and general wear and tear, none of which are covered by the policy."

Aviva paid a cash settlement to cover the costs to dry out Mr and Mrs O's property and for redecoration to the ground floor.

I agree that Aviva's policy doesn't provide for betterment. However, we apply a fair and reasonable approach when looking at complaints and what the policy says. The principle of insurance indemnity is to provide effective and long lasting repairs. Occasionally this means repairs will involve repairing or replacing more than what was originally damaged. We think this is the most practical approach to prevent the same damage occurring again. Aviva accepted the claim. So I don't think it's fair to rely on its 'wear and tear' exclusion under the policy to not pay for effective and long lasting repairs for the same claim.

Mr O hasn't made a claim for flood damage before – and there isn't anything to suggest otherwise to show that the property – or the extension – wasn't built to conform with building regulations at the time.

I think there's no doubt that without effective repairs to Mr O's property, a future ingress of water would be inevitable. And Ms O has confirmed that this did happen. I appreciate that Aviva is of the view that any preventative repair work is an upgrade. But I don't think it is. The surveyor confirmed that the drying out and redecorating work wouldn't prevent further issues when he replied to Ms O's concerns on 20 April 2020. He wrote:

"We would then offer a cash settlement for the repair works to the decorating only, as we cannot guarantee that the above works will be carried out to prevent further issues. We would not carry out works to make the property 'flood proof', as this would involve improving the property or 'betterment', which is excluded on all insurance policies."

So taking everything into account, I think a fair outcome is for Aviva to meet the costs to provide effective and long lasting repairs under Mr O's flood damage claim.

My final decision

For the reasons I've given above, my final decision is that I uphold this complaint. I require Aviva Insurance Limited to do the following:

- Arrange for suitable repairs to be carried out to Mr O's home to prevent future flood damage – or;
- If the repairs have been carried out, for Aviva to meet the costs it is liable for in relation to flood damage and reimburse Mr O.

Aviva should pay interest on the reimbursement at a rate of 8% simple interest a year from the date Mr O paid to the date of reimbursement.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mr O to accept or reject my decision before 3 August 2021.

Geraldine Newbold
Ombudsman